

2. LEADING THE CHANGE, SHAPING TOMORROW

2.1 Message from the Chairperson – Board Sustainability Committee



Ms. Yanika Amarasekera

Chairperson – Board Sustainability Committee

As Chairperson of the Board Sustainability Committee, I am pleased to report on the significant progress LBF has made in integrating responsible and forward-thinking business practices. This year, we have made substantial improvements to our ESG framework, beginning with a comprehensive review and revitalisation of our ESG Policy.

This update ensures alignment with evolving stakeholder expectations, global best practices, and critical sectoral risks.

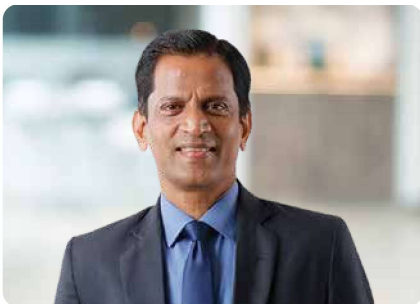
A key milestone was the development of our Climate Policy, which outlines our strategic approach to identifying, managing, and mitigating climate-related risks while seizing opportunities for sustainable innovation. In addition, we have started establishing clear sustainability-related Key Performance Indicators (KPIs) to effectively measure our progress and foster accountability for sustainability performance across all levels of the organisation.

Our Committee remains committed to embedding sustainability into the core of our corporate governance and strategic planning. We have made tangible progress in strengthening our compliance with both

national and international regulatory standards, reinforcing our culture of transparency and ethical leadership. At the same time, we have launched impactful sustainability projects that support community development, promote gender equity, and reduce our environmental footprint. These initiatives reflect our broader goal of going beyond compliance and leading by example.

Looking ahead, the Board Sustainability Committee will continue to provide rigorous oversight, ensure strategic alignment, and drive long-term value creation. We are committed to reinforcing LBF's position as a purpose-driven organisation dedicated to building a more sustainable and inclusive future.

2.2 Message from the Chairman – Sustainability Management Committee



Mr. Niroshan Udage

Chairman – Sustainability Management Committee

At LBF, sustainability is a core driving force embedded in our operations, innovation, and growth. As Chairman of the Sustainability Management Committee, I am proud to lead a dedicated team focused on integrating sustainable outcomes at every level of the business. This year, we strengthened our ESG governance, including early adoption of SLFRS S1 and S2, and became the first NBFI in Sri Lanka to calculate and verify our finance emissions under our carbon footprint, with Control Union Sri Lanka.

Our strategy is guided by key pillars such as customer centricity, sustainable growth, digital leadership, and risk governance,

while safeguarding the six capitals essential for our success: financial, manufactured, human, intellectual, social, and natural. We also formed strategic partnerships with organisations like MEPA, NARA, SMEConnect, and universities, advancing our sustainability journey.

As we scale our initiatives, our goal is to deliver value for shareholders and the broader ecosystem. We are committed to continuous innovation, inclusivity, and integrity, positioning LBF as a leader in sustainability within the financial services sector.